

# Appendix: IRS Submission Processing Guidelines

This appendix provides detailed information about the IRS submission processing procedures that are particularly relevant for nonresident aliens with indigenous North American heritage seeking tax refunds. Understanding these internal processes can help applicants better prepare their submissions and navigate the complex tax filing system more effectively.

## IRS Processing Workflow Overview

When a tax return and refund request from a nonresident alien with indigenous heritage enters the IRS system, it follows a specific internal workflow:

1. **Initial Receipt and Sorting:** All submissions are first received at IRS processing centers where they are sorted based on form type. Form 1040-NR submissions are directed to specialized international tax units.
2. **ITIN Processing:** For applicants without SSNs, ITIN applications (Form W-7) are processed before the associated tax return. This creates a sequential dependency where tax return processing cannot begin until ITIN processing is complete.
3. **Document Authentication:** Supporting documents undergo authentication review, with particular scrutiny given to foreign documents and non-standard identification documents such as tribal enrollment cards or certificates.
4. **Specialized Routing:** Returns claiming treaty benefits or special status based on indigenous heritage may be routed for specialized review by IRS agents with expertise in international tax treaties and indigenous tax matters.
5. **Error Resolution System:** Returns with inconsistencies or incomplete information are routed through the Error Resolution System (ERS), which may generate correspondence requesting additional information.
6. **Refund Prevention Screening:** All refund claims undergo automated and potentially manual screening through refund prevention procedures, which may flag unusual claims or documentation for additional review.
7. **Final Processing and Disbursement:** Once all verification steps are complete, refund approval and disbursement typically occur within 2-3 weeks.

# Critical Processing Timelines

Understanding IRS processing timelines can help manage expectations and plan accordingly:

## ITIN Application

- Standard processing: 7 weeks
- During tax season (January 15-April 30): 9-11 weeks
- Applications from outside the U.S.: 9-11 weeks

## Document Return

- Original documents: Typically returned within 60 days
- Certified copies: Retained by the IRS

## Form 1040-NR Processing

- Standard processing: 6-8 weeks after acceptance
- With ITIN application: Add ITIN processing time
- With treaty claims: Additional 4-6 weeks for review
- With specialized indigenous status claims: May require additional review time

## Response to IRS Inquiries

- Typical deadline to respond: 30-45 days from the date of the notice
- Extensions may be available upon request

# Documentation Requirements and Handling

## ITIN Documentation Requirements

1. **Identity and Foreign Status Verification:** All ITIN applicants must provide documentation that proves both identity and foreign status.
2. **Acceptable Documents:** The IRS accepts 13 specific document types, with a passport being the only standalone document that proves both identity and foreign status. Without a passport, two separate documents are required.
3. **Certified Copies:** Original documents or certified copies from the issuing agency are required. Notarized copies are generally not accepted (with limited exceptions for military dependents).

4. **Indigenous Documentation:** While not explicitly mentioned in IRS guidelines, tribal enrollment cards, certificates of degree of Indian blood (CDIB), or other tribal documentation may serve as identity documents, but applicants should verify current acceptance policies.
5. **Document Certification:** U.S. embassies and consulates can provide certification services for original documents, which may be particularly relevant for indigenous applicants with documents issued by tribal authorities.

## Internal Document Handling Procedures

1. **Authentication Standards:** Documents undergo multi-point verification including visual inspection, database cross-checking, and potentially third-party verification.
2. **Tribal Documentation Review:** While not explicitly covered in public IRM sections, tribal documentation typically undergoes specialized review to verify authenticity and applicability for tax purposes.
3. **Certification Requirements:** The IRS maintains strict internal guidelines for what constitutes acceptable certification, with embassy and consulate certifications receiving higher confidence ratings than other forms of certification.
4. **Document Retention:** The IRS maintains digital copies of all submitted documentation for a minimum of three years, even after returning originals to taxpayers.
5. **Special Handling Codes:** Returns with indigenous heritage claims may receive special internal handling codes that affect routing and review procedures.

## Form 1040-NR Filing Considerations

1. **Filing Requirement:** Nonresident aliens must file Form 1040-NR if they engaged in trade or business in the United States, have U.S. source income not fully covered by withholding, or wish to claim a refund.
2. **Schedule OI Requirement:** Form 1040-NR filers must complete Schedule OI (Other Information), which includes questions about residency status and treaty claims.
3. **Treaty Benefits:** Special attention should be paid to treaty provisions that may benefit indigenous peoples whose traditional territories span international borders.

4. **Simplified Procedure:** A simplified procedure exists for claiming certain refunds, which may be relevant for nonresident aliens with limited U.S. income.

## Common Processing Challenges and Solutions

Understanding common processing challenges and how they are handled internally can help applicants prepare more effectively:

1. **Documentation Inconsistencies:** When names or dates on tribal documentation differ from other identification documents, internal procedures typically require additional verification and may generate correspondence requesting clarification.
2. **Treaty Interpretation:** Claims based on treaty rights undergo specialized review by IRS agents trained in treaty interpretation, with complex cases potentially referred to the Office of Chief Counsel.
3. **Cross-Border Indigenous Status:** For indigenous peoples whose territories span international borders, internal processing may include verification of status recognition by multiple jurisdictions.
4. **Allegiance Documentation:** While not a standard tax form requirement, declarations of allegiance to tribal nations are internally routed for specialized review when included with submissions.
5. **Non-Standard Addresses:** Returns with addresses on reservations or in traditional territories may undergo additional verification to ensure proper delivery of correspondence and refunds.

## Practical Recommendations

Based on these processing insights, nonresident aliens with indigenous heritage should consider the following practical steps:

1. **Submission Timing:** Submit applications well before deadlines, allowing for the extended processing times associated with ITIN applications and specialized reviews.
2. **Documentation Preparation:** Prepare documentation packages with awareness of internal authentication standards, ensuring all documents are properly certified and consistently represent identity information.

3. **Clear Communication:** Include a detailed cover letter explaining indigenous status, treaty positions, and any special circumstances to facilitate proper internal routing and review.
4. **Consistent Follow-Up:** Maintain regular contact with the IRS regarding application status, using the appropriate contact channels for international taxpayers.
5. **Record Keeping:** Maintain comprehensive records of all submissions and correspondence, as internal processing may require reference to previously submitted information.

By understanding these internal processing procedures, nonresident aliens with indigenous North American heritage can better navigate the tax refund process, anticipate potential challenges, and prepare submissions that align with IRS internal handling requirements.